Individual Report_2: International Marketing Plan

Guinness In India

Name: Krishna Bajaj

KU ID: K2461178

EXECUTIVE SUMMARY

This international marketing plan presents a strategic plan of moving the famous Irish beer brand of Guinness of the company Diageo into the Indian beer market. India is an important growth market boasting of young population, rising middle-income market and growing trend in terms of quality alcoholic drinks. Although the Guinness brand faces stringent marketing laws and competition, the brand equity of the company has been founded on heritage, quality and distinctiveness that can be used to secure a premium market in the changing beer culture in India.

The situation analysis indicates that the major strengths are the emerging Free Trade Agreement between the UK and India and Diageo is already established in India in terms of distribution reach. Nevertheless, such issues as strict advertising of alcoholic drinks and the niche taste profile of Guinness that can also mandate the education of consumers is problematic. The opportunities include the trends in premiumization trend in India, young population median age at 28, and in the increasing popularity of craft beer whereas the threats comprise the rise of craft breweries in the country and the complicated regulatory frameworks in various provinces.

In the plan, the two SMART marketing targets include increasing market share to 3% in the premium area of the Indian market by increasing the brand awareness in 25 percent of the target consumers by the end of 18 months. The strategic segmentation targets young and rich millennials and Gen Z consumers (25-40 years) who have their brands in large metropolitan cities and are willing to spend more on a high-quality experience, authenticity, and global brands. The differentiated targeting strategy will make Guinness appear as an alternative to mainstream lagers, a sophisticated and heritage-filled brand.

The positioning strategy will highlight the smooth creamy texture and bold roasted flavour profile of Guinness that has made it stand out of the carbonated, crisp drinks such as Kingfisher, Budweiser, and Bira 91. The core product is modified by the marketing mix to have potential versions that suit the interests of Indians, premium pricing scheme (₹300-400 per pint), selective distribution by using upscale facilities, and experience promotion based on heritage narratives and tasting experiences within the framework of regulatory conditions.

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INTRODUCTION

Guinness, the global-famous Irish dry stout founded in 1759, is one of the most famous beer brands in the world and is present in more than 120 countries. Guinness is owned by Diageo, a multinational beverage company and is characterized by dark ruby colour, creamy head and unique roasted malt flavour profile. This global marketing strategy aims at the strategic penetration of Guinness to the Indian market, aiming at consumers in urban areas of a metropolitan city where consumption of premium alcoholic drinks is witnessing remarkable growth (Naughton, 2011). With a market potential of some 7 billion that is experiencing an annual growth of 7-8 percent, the beer market in India offers massive opportunities to the premium international brands seeking to exploit the shifting consumer tastes and rising disposable income among the young working population (Dlacic, and Kadic-Maglajlic, 2013).

SITUATION ANALYSIS

2.1 Strengths

United Kingdom - India Free Trade Agreement.

The gradual process of ensuring that the UK-India Free trade agreement is signed and the achievements in the course of those negotiations indicate a strategic leverage of the marketplace entry of Guinness. This international trade agreement will translate to a significant decrease in tariff barriers to alcoholic beverages that are currently at approximately 150 premiums in the case of imported beer in India (Dlacic, and Kadic-Maglajlic, 2013). Reduction in importation duties will facilitate better pricing policy and the luxury imported beers will be affordable to middle-income earners other than the ultra-high-net-worth population. More than that, simplified customs and fewer non-tariff barriers will lead to effective supply chain activities, which will decrease the time-to-market and maintain the freshness of goods, which is highly demanded by a beer brand with a focus on quality and integrity of tastes (Calvo-Porral, and Levy-Mangin, 2019). The FTA is also an indicator that closer economic relations will exist between UK and India, which may contribute to improving the cultural value of British brands among aspirational consumers of India as they begin to attach stronger status to international products.

2.2 Weaknesses

Tough Marketing limits in India.

India has one of the strictest regulatory systems in the marketing and advertising of the alcoholic drink. The Cable Television Networks (Regulation) Act bars the advertisement of alcohol on television and radio, as the print media has a high restriction that imposes statutory warning and restriction on images used to project drinking (Naughton, 2011). Digital marketing is characterized by poor interpretation of the laws and the platforms tend to work voluntarily in order to prevent the risk of being caught in violation. These are core limitations that will cripple Guinness in terms of conducting conventional above-the-line marketing campaigns that have been made successful elsewhere. The brand is unable to capitalize on its classic advertising background such as legendary campaigns featuring the Guinness surfer and the use of good things come to those who wait messaging via the mass media. It requires extensive use of below-the-line marketing, physical activation and point of sale materials, which considerably makes the cost of customer acquisition high and constrains the ability to scale the efforts of building awareness (Plata, et al., 2022). The limitations mainly cripple entry by new players whose efforts of creating brand awareness is placed at a disadvantage against already established firms with brand equity.

Motivational Targeting and High-end Pricing.

The flavour attributes of bold roasted malt bitterness, minimal carbonation, and creamy mouthfeel in Guinness are a major change of the India beer market, 85% of which is made up

of light and crisp lagers (like Kingfisher, Carlsberg, and Budweiser). The Indian consumers are also not heavily exposed to dark beers and stouts, and taste qualities have been largely cultured to be refreshing and highly carbonated beers that are appropriate in hot climates (Plata, et al., 2022). This will need a significant amount of consumer education and generation of trials since the taste profile will be unfamiliar to the consumer who might initially be having traditional characteristics of beer. Moreover, being an imported premium product, Guinness will sell at 2-3 times more than domestic mainstream brands, serving the upper-middle and high-income population of the metropolitan markets, only partially. The price sensitive market in India also indicates high value-consciousness even in the high-end market with Guinness having to ensure its premium positioning by providing compelling brand story and experience versus functional advantages alone (Anderson, 2023).

2.3 Opportunities

Premiumization Trend and Young Demographics

India has a strong trend of premiumization of all consumer segments, such as alcoholic beverages, fuelled by an increasing disposable income, urbanization, and changing lifestyle goals of millennial consumers and the representatives of Generation Z. The premium sector of the beer market in the country is expanding between 15-20 a year, which is vastly higher to the rate of expansion of the market (7- 8 a year) on the whole (Anderson, 2023). This is a result of evolving consumption trends with younger and more up-market consumers becoming more focused on quality, brand equity and experience rather than quantity and price. The demographic dividend in India which is characterized by a median age of 28 years and a population of 600m under 35 years provides a large target market consisting of young professionals, entrepreneurs and urban populace who desire to use authentic international brands that are identified with sophistication and global orientation (Plata, et al., 2022). These consumers are ready to pay a high price to differentiated products that can give them a better

taste than others, the craft level, and the brand narration that would appeal to their identity aspirations. Also, their role in social drinking events is also growing, and this widens the market to be targeted rather than the traditional male dominated beer drinking habits.

2.4 Threats

Local Craft Beers Competitors.

The fast-growing craft beer market in India has been able to give rise to various home-grown brands such as Bira 91, White Owl, Simba, and Doolally that capitalize on craft positioning and local market knowledge and competitive pricing benefits. They offer these brands decreased manufacturing expenses, diminished duties on importing wine, fresher product since it is brewed locally as well as quicker adjustment to local preferences of tastes. Several of them have managed to establish themselves as a high-end option to regular lagers and keep their prices slightly lower than those offered by imported brands (Plata, et al., 2022). In a specific case, Bira 91 has been able to attain high brand recognition and scale of distribution by taking dramatic steps such as packaging, flavour innovation, and finding a way through the regulatory hurdles. Local craft brands have imagined cultural proximity, and have an opportunity to exploit local ingredients, regional flavour systems, and India specific brand stories that have an authentically nationalist appeal among the consumers. These brands are becoming more of a threat to the market share and positioning of imported premium brands as they grow to maturity and grow to more geographies than the urban strongholds through their distribution channels. There are as well domestic breweries evolving beer dark and stout versions that are directly aiming at the market that Guinness would qualify in, posing direct competition styles wise as well as having a clear cost and freshness advantage.

Global market marketing goals.

Goal 1: Market Share Penetration (3-year long-term)

Gain 3% market share in metropolitan markets (Mumbai, Delhi-NCR, Bangalore, Pune and Hyderabad) in the premium segment of the Indian beer market (those products positioned above [?]250 per serving) in 36 months after launch (Plata, et al., 2022). This goal is Specific as it is aimed to address a specific market segment and geography; Measurable as to track the three-month market share with Nielsen or other retail audit reports; Achievable due to the 15-20% annual growth rate of the premium segment and the distribution capacities of Diageo; Relevant to ensure commercial viability and deem the continued investment worthwhile; and Time-based with a definite 3-year horizon. The measures of success will be by monthly distribution penetration (reaching the 60 per cent numberic distribution of premium on-premise brands) and quarterly sales volumes (tracked to reach 10 million) and those of market share (a benchmarked 25 per cent versus other key competitors such as imported brands (Budweiser, Corona, Heineken) and local craft beer brands (Bira 91, White Owl).

Goal 2: Building the Brand Awareness (Intermediate: 18 months)

Develop brand awareness of 25 percent aided and 8 percent unaided among the target consumer market (male / female in the urban age group: between 25 and 40 years of age and having a household income exceeding₹12 lakhs/year). This goal is Specific in the sense that it specifies the level of awareness and target audience; Measurable in the sense that it is

achieved by carrying out consumer awareness studies after every 18 months by third party research agencies and in the achievement of specific goals given that Diageo has the capability of marketing its products and the media consumption involves of the target market despite the constraints that could affect advertising; Relevant in the sense that awareness directly relates to trial generation and consideration of purchase); and Time bound, in the aspect that after 18 months, it is checked and after 6 months and 12 months, The success measures will involve unprompted rates of recall, prompted brand recognition, attribute associations (especially heritage, quality, and distinctiveness) as well as proportion of inclusion in the consideration set through quantitative surveys of consumers in five target metropolitan market use.

The international marketing strategy.

4.1 Market Segmentation

Geographic Segmentation

Guinness will first focus on the urban states such as Mumbai, Delhi-NCR (including Gurgaon and Noida), Bangalore, Pune, and Hyderabad with a total population of about 60 million urban consumers and portraying the highest number of premium beverage consumers. These are cities that are characterized by cosmopolitan culture, internationalization of these cities by business travelling and expatriates, and well-established hospitality systems such as luxury hotels, fine restaurants, gastropubs, and elite bars. In time to come (after changes in regulations), the company will have an emphasis upon secondary expansion into tier-2 cities like Chandigarh, Jaipur, Kochi (specific localities in urban areas with affluent demographics

and premium consumption habits). The geographic concentration strategy provides the maximum efficacy of marketing, allows it to be distributed intensively, and allows it to conduct an experience marketing operation within the framework of the regulations (Plata, et al., 2022).

Demographic Segmentation

The main target market is the population of urban professionals aged between 25-40 years with a household income of above ₹12 lakhs (or about 14 500 USD), the growing upper-middle and wealthy segments of the Indian population of the consumer market. Such a cohort consists of both the male and female gender; it is also aware that there is increased gender equality in the consumption of high-end drinks especially in the metropolitan social arena. The educational profile aims at graduates and post-graduates working in corporate industries (IT, consulting, banking, professional services), entrepreneurial careers or in the creative industry.

4.2 Market Targeting Strategy

Guinness will be using differentiated targeting strategy among various sub-segments in the high-end beer market with consistent core positioning. This is in recognition of the heterogeneity of the target market whilst exploiting the multifaceted brand equity of Guinness to be attractive to the segments with unique focus but not entirely differentiated products. The major group, i.e., the sophisticated urban consumer (between 28 and 40 age) will be

approached using the messages of heritage and authenticity based on the brewing legacy of 265 years, the story of Arthur Guinness and the Irish cultural identities. Communications to be used in marketing will focus on craftsmanship, quality ingredients, and unique brewing process that involves the use of nitrogenation that forms the signature creamy head. The special focus of distribution will be on high end gastropubs, fine-dining restaurants, and luxury hotel bars in which the consumption setting augments upscale social events. The secondary segment, which includes the younger exploratory consumer (25-32), will be addressed using craft credentials and flavour adventure story, where Guinness fits in the wider craft beer trend, but its unique heritage authenticity stands out. This will be reached out to via microbrewery sponsorships, tasting occasions and online content that focuses on the sensual appeal and the position of acquired taste that will draw craft beer drinkers in favour of authenticity over the mainstream appeal.

4.3 Perceptual Map Analysis

5. INTERNATIONAL MARKETING MIX

5.1 Product Strategy

Core Product Offering the launched products include Guinness Draught in draft (kegs) and packaged (cans) versions with widget technology that is consistent across the world at 4.2% ABV. Constancy of the products guarantees credibility that is of importance to the brand and consumers that are internationally exposed.

Adaptations of the product After the creation (12-18 months), launch Guinness Foreign Extra Stout (7.5% ABV) that would attract consumers that like alcohol stronger, but retain the

roasted flavour. The occurrence of limited seasonal releases (Nitro IPA, Cold Brew Coffee Stout) provokes the excitement and is indicative of innovation.

Packaging Strategy Place a higher emphasis on draft serving of service in high-end bars using special Guinness taps because the experience of a perfect pour differentiates services. In the case of retail, it can be highlighted that cans with a widget technology that makes them replicate creamy must have the benefits of practicality. Packaging (global visual identity harp logo, black label) is a call to authenticity that has the presence of subtle elements that could be local-specific.

5.2 Pricing Strategy

Premium Positioning Pricing Charge much higher than mainstream brands. Target ₹300-400/pint on site (2.5-3x mainstream price), in the same range as imported competitors with slight high value added on account of unique experience. Packaged forms: ₹ 200-250 per 330ml of can and maintain the same premium positioning.

Price Justification Premium backed up by promoting by focusing on distinctive feel, heritage genuineness, quality components, and social signalling worth. Makes the assumption of moderate price elasticity in premium segment where differentiation is included rather than price.

Tactical Flexibility There are introducing sampling promotions, happy hour promotions (₹250 during off-peak), and packaged format promotions during festivals. Deep discounting should be avoided, and this will avoid brand dilution.

5.3 Place/Distribution Strategy

On-Premise Focus premium gastropubs, fine-dining restaurants, premium hotel bars and microbrewery alliances. Goal 60 percent numeric subdivision on best quality premium in-premise segment in 18 months, but with 300-400 well-chosen key accounts where quality of service is under control.

Invites Infrastructure Invest in exclusive Guinness draft systems in joint hostages, maybe paying part of the cost. Training will entail thorough training of personnel to provide the right pouring and storytelling of the brand, which can make the shop personnel brand ambassadors. Service consistency is observed by mystery shopper programs.

5.4 Promotion Strategy

- Experiential Marketing Due to the limitations of the advertising effort, focus on the experiences of activations. Guinness Heritage Evenings are a blend of brand storytelling and guided tasting of the brands at partner venues (30-50 attendees) with the effect of creating engagement and word-of-mouth. Creation of visibility and trial

opportunity is done by installing Guinness bars in high end hotels during festivals and sporting events.

- Digital and social media find Strong platform on Instagram where the visual content will be a priority displaying the specific look of Guinness, its Irish roots and food matches. The micro-influencer collaborations (food bloggers, lifestyle makers 10K100K followers) generate natural content. Brand depth is created through YouTube content, documentary in nature, on brewing process and history of the brand.
- Partnership Marketing Food company associating with celebrity chefs makes Guinness look like high culture food pairing. Sponsorships of cultural events (jazz festivals, literary festivals, watching rugby, St. Patrick's Day) are related to lifestyle situations. The direct contact with consumers in craft movement is allowed with the participation in craft beer festivals.

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